

COMMITTEE ON NATURAL RESOURCES
SENATE AMENDMENTS TO H.B. 2755
(Reference to House engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.

~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 <<Section 1. Title 9, chapter 4, article 8, Arizona Revised
3 Statutes, is amended by adding section 9-500.54, to read:

4 9-500.54. Mineral lease; state lands; municipal
5 authorization; prohibition; definitions

6 [A. A MUNICIPALITY MAY NOT REQUIRE A PERSON TO OBTAIN A SPECIAL
7 LAND USE PERMIT, CONDITIONAL USE PERMIT, DEVELOPMENT AGREEMENT, VARIANCE
8 OR OTHER EXPRESS AUTHORIZATION FOR THE USE OF STATE LANDS FOR MINING,
9 WHETHER FOR COMMON VARIETY MINERALS OR MINERAL CLAIMS, IF THE STATE LANDS
10 WERE SUBJECT TO A VALID MINERAL LEASE, COMMON VARIETY MINERAL LEASE OR
11 HOLDOVER LEASE WHEN THE MUNICIPALITY ANNEXED THE STATE LANDS.

12 B. FOR THE PURPOSES OF THIS SECTION:

13 1. "COMMON VARIETY MINERAL" HAS THE SAME MEANING PRESCRIBED IN
14 SECTION 27-201.01.

15 2. "MINERAL" HAS THE SAME MEANING PRESCRIBED IN SECTION 27-201.01.

16 3. "STATE LANDS" HAS THE SAME MEANING PRESCRIBED IN SECTION
17 37-101.]>>

18 <<Sec. 2. Title 27, chapter 2, article 1, Arizona Revised Statutes,
19 is amended by adding section 27-201.01, to read:

20 27-201.01. Definitions

21 [IN THIS CHAPTER, UNLESS THE CONTEXT OTHERWISE REQUIRES:

22 1. "COMMISSIONER" MEANS THE STATE LAND COMMISSIONER.

23 2. "COMMON VARIETY MINERAL":

24 (a) INCLUDES:

25 (i) A DEPOSIT OF PETRIFIED WOOD, STONE, PUMICE, PUMICITE, CINDERS,
26 DECOMPOSED GRANITE, SAND, GRAVEL, BOULDERS, COMMON CLAY, FILL DIRT AND
27 WASTE ROCK.

28 (ii) A DEPOSIT THAT, ALTHOUGH THE DEPOSITS MAY HAVE VALUE FOR USE
29 IN TRADE, MANUFACTURING AND CONSTRUCTION, LANDSCAPE AND DECORATIVE ROCK

1 INDUSTRIES, DOES NOT POSSESS A DISTINCT, SPECIAL ECONOMIC VALUE FOR THOSE
2 USES BEYOND THE NORMAL USES OF THOSE DEPOSITS.

3 (iii) A MATERIAL THAT IS USED AS ROAD BASE MATERIAL, RIPRAP,
4 BALLAST, BORROW, FILL, FACING STONE, LANDSCAPE OR ORNAMENTAL USES AND
5 OTHER SIMILAR USES.

6 (b) DOES NOT INCLUDE LIMESTONE THAT IS SUITABLE FOR USE IN
7 PRODUCING CEMENT, METALLURGICAL OR CHEMICAL GRADE LIMESTONE OR GYPSUM.

8 3. "MINERAL" MEANS A METALLIC ORE MINERAL OR INDUSTRIAL MINERAL
9 OTHER THAN A COMMON VARIETY MINERAL.

10 4. "STATE LAND" MEANS ANY LAND THAT IS OWNED OR HELD IN TRUST, OR
11 OTHERWISE, BY THIS STATE, INCLUDING LEASED SCHOOL OR UNIVERSITY LAND.]>>

12 <<Sec. 3. Repeal

13 [Section 27-231, Arizona Revised Statutes, is repealed.]>>

14 <<Sec. 4. Transfer and renumber

15 [Section 27-254, Arizona Revised Statutes, is transferred and
16 renumbered for placement in title 27, chapter 2, article 3, Arizona
17 Revised Statutes, as a new section 27-231.]>>

18 <<Sec. 5. Section 27-239, Arizona Revised Statutes, is amended to
19 read:

20 27-239. Inspections, investigations and audits

21 A. The ~~[state land]~~ commissioner or the commissioner's authorized
22 representative may enter, and the lessee shall maintain access to, the
23 state land held under a mineral lease at reasonable times to inspect the
24 workings, improvements and other facilities used to extract or sever
25 minerals or common variety minerals~~[, as defined in section 27-271,]~~ from
26 state lands.

27 B. The commissioner or the commissioner's authorized representative
28 may enter at reasonable times to:

29 1. Obtain factual data or access to records pertinent to mineral
30 production and required to be kept under the terms of the lease.

31 2. Otherwise ascertain compliance with law and the terms of the
32 lease.

33 C. Inspections, investigations and audits under subsection A [OF
34 THIS SECTION] shall be on reasonable notice to the lessee unless
35 reasonable grounds exist to believe that notice would frustrate the
36 enforcement of law or the terms of the lease. The commissioner may, and
37 if required by law shall, apply for and obtain warrants for entry and
38 inspection.

39 D. The commissioner may require a lessee to appear at reasonable
40 times and on reasonable notice at the commissioner's office and produce
41 such records and information as are specified in the notice to determine
42 compliance with the terms of the lease.

43 E. The commissioner shall provide to the lessee a written report of
44 each inspection, investigation and audit under this section.

45 F. Tax records and trade secrets, as defined in section 23-401,
46 obtained under this section are confidential.>>

1 Sec. 6. Title 27, chapter 2, article 3, Arizona Revised Statutes,
2 is amended by adding section 27-240, to read:

3 27-240. Lease of state lands; minerals; renewal; auction
4 exemption; indexed royalties; municipal conditions

5 A. NOTWITHSTANDING ANY OTHER LAW, THE COMMISSIONER MAY RENEW AN
6 EXISTING MINERAL OR MINERAL MATERIALS LEASE WITHOUT PUBLIC AUCTION IF THE
7 COMMISSIONER DETERMINES THAT:

8 1. THE LESSEE IS IN SUBSTANTIAL COMPLIANCE WITH THE TERMS OF THE
9 LEASE.

10 2. RENEWAL IS IN THE BEST INTEREST OF THE TRUST.

11 3. RENEWAL IS SUPPORTED BY WRITTEN FIDUCIARY FINDINGS.

12 4. THE RENEWAL TERM IS FOR A TERM THAT IS AUTHORIZED BY STATE LAW.

13 B. A LEASE RENEWED PURSUANT TO THIS SECTION SHALL PROVIDE FOR A
14 ROYALTY RATE THAT IS ADJUSTED USING A MARKET-BASED INDEXING MECHANISM
15 ADOPTED BY THE DEPARTMENT.

16 C. THE INDEXING MECHANISM MAY INCLUDE PRODUCER PRICE INDICES,
17 REGIONAL OR STATEWIDE CONSTRUCTION AGGREGATE PRICE INDICES OR OTHER
18 OBJECTIVE, INDUSTRY-RECOGNIZED MARKET INDICATORS.

19 D. THE COMMISSIONER SHALL REVIEW INDEXED ROYALTY RATES AT INTERVALS
20 OF NOT MORE THAN FIVE YEARS.

21 [E. THE STATE LAND DEPARTMENT MAY NOT REQUIRE THE HOLDER OF A VALID
22 MINERAL LEASE OR COMMON VARIETY MINERAL LEASE OF STATE LANDS THAT ARE
23 LOCATED WITHIN THE BOUNDARIES OF A MUNICIPALITY TO OBTAIN A SPECIAL LAND
24 USE PERMIT, CONDITIONAL USE PERMIT, DEVELOPMENT AGREEMENT, VARIANCE OR
25 OTHER EXPRESS AUTHORIZATION FROM THE MUNICIPALITY AS A CONDITION OF LEASE
26 RENEWAL.]

27 <<Sec. 7. Heading change

28 [The article heading of title 27, chapter 2, article 4, Arizona
29 Revised Statutes, is changed from "MINERAL EXPLORATION PERMITS AND MINERAL
30 LEASES" to "EXPLORATION PERMITS FOR MINERALS AND COMMON VARIETY
31 MINERALS".]>>

32 <<Sec. 8. Section 27-251, Arizona Revised Statutes, is amended to
33 read:

34 27-251. Application for exploration permit

35 A. Any natural person [WHO IS] over eighteen years of age and any
36 other person qualified to transact business in this state may apply to the
37 [state land] commissioner for a [mineral] exploration permit on [the]
38 state land [in] [. INCLUDING STATE LAND RESERVED MINERALS THAT ARE SUBJECT
39 TO SECTION 37-231 SUBSECTION E. EACH APPLICATION FOR AN EXPLORATION
40 PERMIT ON STATE LAND IN] one or more of the rectangular subdivisions of
41 twenty acres, more or less, or lots, in any [one section] [IDENTIFIED
42 CONTIGUOUS SECTIONS] of the public land survey [MAY NOT EXCEED MORE THAN
43 NINE SECTIONS]. [Such] [THE EXPLORATION PERMIT] application shall be in
44 writing and signed by the applicant, or an authorized agent or attorney
45 for the applicant, and shall contain the name and address of the
46 applicant, a description according to the public land survey of the state
47 land for which the applicant seeks a [mineral exploration] permit, and

1 such other information as the commissioner may prescribe by rule. The
2 ~~[application]~~ [APPLICANT] shall ~~[be filed]~~ [FILE THE EXPLORATION PERMIT
3 APPLICATION] with the state land department and shall ~~[be accompanied by~~
4 ~~payment to the department of a filing fee]~~ [ACCOMPANY THE APPLICATION WITH
5 A FILING FEE PAYABLE TO THE STATE LAND DEPARTMENT] as prescribed pursuant
6 to section 37-107. [THE COMMISSIONER SHALL STAMP] each application
7 ~~[meeting]~~ [THAT MEETS] the requirements of this section ~~[shall be stamped~~
8 ~~by the department]~~ with the time and date ~~[it]~~ [THAT THE APPLICATION] is
9 filed with the [STATE LAND] department. ~~[The application]~~ [ONLY MINERAL
10 EXPLORATION APPLICATIONS] shall have priority over any other ~~[application]~~
11 [APPLICATIONS] for a mineral exploration permit involving the same state
12 land ~~[which]~~ [THAT] may be filed with the [STATE LAND] department
13 subsequent to such time and date, and ~~[such]~~ land ~~[shall be]~~ [THAT IS
14 SUBJECT TO THE MINERAL APPLICATION IS] deemed withdrawn as long as the
15 application is pending. [A COMMON VARIETY MINERAL EXPLORATION APPLICATION
16 MAY NOT HAVE PRIORITY OVER A MINERAL EXPLORATION APPLICATION AND WILL NOT
17 RESULT IN WITHDRAWAL OF A MINERAL EXPLORATION APPLICATION WHILE THE
18 MINERAL EXPLORATION APPLICATION IS PENDING.]

19 B. Not less than thirty days nor more than forty-five days ~~[from]~~
20 [AFTER] the filing of the application with the [STATE LAND] department,
21 provided there is no prior application for a mineral exploration permit
22 involving the same state land then pending before the department, or if
23 such prior [MINERAL] application is then pending but is subsequently
24 cancelled, not more than thirty days after it is ~~[cancelled]~~ [CANCELED],
25 the [STATE LAND] department shall mail to the applicant at the address
26 shown on the application a written notice designating the state land that
27 is described in the [MINERAL] application and that, at the time the
28 application was filed with the department, was open to application, the
29 amount of rental required to be paid for the ~~[mineral]~~ exploration permit
30 as herein provided, and whether a bond will be required under the
31 provisions of section 27-255 as a condition to ~~[issuance of such]~~ [ISSUING
32 THE EXPLORATION] permit. If, within thirty days after ~~[the]~~ mailing ~~[of~~
33 ~~such]~~ [THE] notice, the applicant pays to the department as rental for the
34 permit the amount of ~~[two dollars]~~ [\$2] per acre for each acre of state
35 land designated in the notice and files with the department the bond, if
36 any, required under section 27-255, and if the commissioner finds that
37 issuing the permit is in the best interest of the trust, the commissioner
38 shall issue to the applicant ~~[a mineral]~~ [AN] exploration permit for the
39 state land designated in the notice. The commissioner may deny the
40 application for any of the following reasons:

- 41 1. The application was not made in good faith.
- 42 2. The proposed exploration or possible future mining activities
43 would not be the highest and best use of the trust lands.
- 44 3. The value and income potential of surrounding trust lands would
45 be adversely affected and the benefit from proposed exploration and future
46 mining activity cannot reasonably be expected to be greater than the
47 diminished value to those surrounding trust lands.

1 4. The proposed operations would violate applicable state or
2 federal law.

3 5. The commissioner determines that the proposed exploration
4 activities or possible future mining activities will create a liability to
5 ~~[the]~~ [THIS] state greater than the income from the proposed operations.

6 C. During the period ~~[such]~~ [THAT A] mineral exploration permit is
7 in effect~~[.]~~ [no person except] [ONLY] the permittee and the authorized
8 agents and employees of the permittee shall be entitled to explore for
9 minerals on the state land covered by the permit. If the applicant fails
10 to make the payment or furnish the bond within the period of thirty days,
11 the application shall be deemed cancelled and of no further effect.>>

12 <<Sec. 9. Title 27, chapter 2, article 4, Arizona Revised Statutes,
13 is amended by adding section 27-251.01, to read:

14 27-251.01. Definition of exploration

15 [IN THIS ARTICLE, UNLESS THE CONTEXT OTHERWISE REQUIRES,
16 "EXPLORATION" MEANS ACTIVITY CONDUCTED ON STATE LAND, INCLUDING ACTIVITY
17 ON STATE RESERVED MINERALS, THAT IS COVERED BY AN EXPLORATION PERMIT
18 ISSUED PURSUANT TO THIS ARTICLE TO DETERMINE THE EXISTENCE OR NONEXISTENCE
19 OF A VALUABLE MINERAL DEPOSIT OR DEPOSIT OF COMMON VARIETY MINERALS,
20 INCLUDING GEOLOGICAL, GEOCHEMICAL OR GEOPHYSICAL SURVEYS CONDUCTED BY
21 QUALIFIED EXPERTS AND DRILLING, SAMPLING AND EXCAVATING, TOGETHER WITH THE
22 COSTS OF ASSAY AND METALLURGICAL TESTING OF SAMPLES FROM STATE LAND.]>>

23 <<Sec. 10. Section 27-252, Arizona Revised Statutes, is amended to
24 read:

25 27-252. Terms exploration permit

26 A. ~~[Every mineral]~~ [AN] exploration permit shall be for a term of
27 ~~[one year from]~~ [FIVE YEARS AFTER] the date of issuance, subject to
28 ~~[renewals]~~ [THE ELIGIBILITY FOR EXPLORATION PERMIT RENEWAL FOR ONE
29 ADDITIONAL FIVE-YEAR PERIOD] as provided in this article for an aggregate
30 of not to exceed ~~[five]~~ [TEN] years ~~[from such]~~ [AFTER THE] date~~[, -]~~ [OF
31 ISSUANCE] and shall give to the permittee the rights, subject [ONLY] to
32 the terms and conditions, as follows:

33 1. During the period ~~[the]~~ [AN EXPLORATION] permit is in force and
34 effect, the [EXPLORATION] permittee shall have the exclusive right to
35 explore for minerals within the state land covered by the permit and to
36 apply for and obtain a mineral lease or leases to the land.

37 2. [DURING THE PERIOD THE EXPLORATION PERMIT IS IN FORCE AND
38 EFFECT.] the permittee shall have those surface rights necessary for
39 exploration ~~[for mineral]~~ on the state land covered by the permit~~[, -]~~ but
40 may remove from the [STATE] land only that amount of mineral [OR COMMON
41 VARIETY MINERAL THAT IS] required by the permittee for sampling, assay and
42 metallurgical testing purposes.

43 3. The permittee shall have the right of ingress to and egress from
44 the [STATE] land covered by the permit across other state lands but only
45 along routes first approved by the commissioner.

1 4. The permittee shall be liable to and shall compensate the owner
2 ~~[and]~~ [OR ANY STATE] lessee of the surface of the state land covered by
3 the permit, or across which the permittee exercises the right of ingress
4 and egress, for any loss to such owner and lessee from damage or
5 destruction caused by the permittee or the permittee's agents or employees
6 to grasses, forage, crops or improvements ~~[upon]~~ [ON] such state land.

7 5. The permit shall terminate automatically as of the end of ~~[any~~
8 ~~annual]~~ [THE INITIAL FIVE-YEAR] period from and after the date of issuance
9 ~~[unless]~~ [AND IS SUBJECT TO RENEWAL FOR AN EXPLORATION PERMIT AS PROVIDED
10 BY THIS ARTICLE.] During ~~[such annual]~~ [THE INITIAL FIVE-YEAR] period~~],~~
11 [OR ANY RENEWAL PERIOD,] the permittee ~~[expended]~~ [MUST EXPEND] in
12 exploration for valuable mineral [OR COMMON VARIETY MINERAL] deposits on
13 the state land covered by the permit not less than the amount per acre
14 provided in this article or paid to the [STATE LAND] department a sum
15 equal thereto, and ~~[prior to]~~ [BEFORE] expiration of ~~[such annual]~~ [THE
16 INITIAL FIVE-YEAR] period shall have filed with the [STATE LAND]
17 department ~~[an application for renewal for the ensuing annual period, and]~~
18 an affidavit showing such expenditure, together with such other proof in
19 support thereof as the commissioner by rule may prescribe. The amount to
20 be so expended or paid to the [STATE LAND] department during each of the
21 first two ~~[annual periods in which such]~~ [YEARS THAT THE] permit may be in
22 effect ~~[shall be not less than ten dollars]~~ [MUST BE AT LEAST \$10] for
23 each acre of state land covered by the permit at the commencement of ~~[such~~
24 ~~annual]~~ [THE FIVE-YEAR] period, and the amount to be so expended or paid
25 to the [STATE LAND] department during each of the last three ~~[annual~~
26 ~~periods in which such]~~ [YEARS THAT THE] permit may be in effect ~~[shall be~~
27 ~~not less than twenty dollars]~~ [MUST BE AT LEAST \$20] for each acre of
28 state land covered by the permit at the commencement of ~~[such annual~~
29 ~~period]~~ [THE FIVE-YEAR PERIOD]. ~~[Prior to]~~ [BEFORE] termination of any
30 ~~[such annual]~~ [FIVE-YEAR PERMIT] period, the permittee may, by instrument
31 in writing filed with the [STATE LAND] department, release from the permit
32 the acreage covered thereby and contained within one or more rectangular
33 subdivisions of twenty acres, more or less, or lots, according to the
34 lines of the public land surveys.

35 6. When a permittee has an interest in one or more contiguous
36 properties ~~[for which he or she]~~ [THAT THE PERSON] holds ~~[a mineral]~~ [AN]
37 exploration permit, ~~[such]~~ [THE] permittee may group such permits and
38 expend the sum required by this article under a common plan of development
39 on one or more of the properties for the benefit of all ~~[if the total area~~
40 ~~of such contiguous property does not exceed three miles on a side]~~.

41 7. ~~[Upon]~~ [ON] termination of the ~~[mineral]~~ exploration permit,
42 other than by issuance of a mineral [OR COMMON VARIETY MINERAL] lease, the
43 permittee shall submit to the [STATE LAND] department the following
44 information, which shall not include any chemical analysis or other
45 identification of minerals [OR COMMON VARIETY MINERAL], concerning any
46 drill holes or wells drilled on state land covered by the permit:

47 (a) Total depth.

1 (b) Lithologies and depths of lithologic boundaries encountered in
2 the hole.

3 (c) Logs of surveys made of the hole[.] including gamma ray,
4 resistivity, caliper and deviation surveys.

5 8. Drill hole information shall be confidential for one year after
6 termination of the permit, and such period of confidentiality shall be
7 extended for an additional year upon the request of the permittee.

8 9. Any expenditures in exploration for valuable [OR COMMON VARIETY]
9 mineral deposits made in excess of the requirements of this article during
10 any annual period of the permit may be credited against expenditure
11 requirements of successive ~~[annual periods]~~ [YEARS] of the permit.

12 10. In lieu of making expenditures in exploration, the permittee
13 may elect to make a money payment of the amounts required for expenditures
14 in exploration for valuable mineral deposits to the [STATE LAND]
15 department.

16 B. [Upon] [ON] any partial or total relinquishment, or the
17 cancellation or expiration of the permit other than by issuance of a
18 mineral lease, the permittee shall fill any holes, ditches or other
19 excavations, as may be required by the commissioner, and, as far as
20 reasonably possible, reclaim the surface to its former condition.

21 ~~[C. As used in this article, "exploration" means activity conducted~~
22 ~~upon the state land covered by an exploration permit to determine the~~
23 ~~existence or nonexistence of a valuable mineral deposit, including but not~~
24 ~~limited to geological, geochemical or geophysical surveys conducted by~~
25 ~~qualified experts, and drilling, sampling and excavation, together with~~
26 ~~the costs of assay and metallurgical testing of samples from such land.]]>>~~

27 <<Sec. 11. Section 27-253, Arizona Revised Statutes, is amended to
28 read:

29 27-253. Renewal of exploration permit

30 The holder of an exploration permit may~~[, prior to]~~ [WITHIN SIXTY
31 DAYS BEFORE THE] expiration of the ~~[annual]~~ [INITIAL FIVE-YEAR EXPLORATION
32 PERMIT] period ~~[for which such permit was issued, or prior to expiration~~
33 ~~of the annual period for which such permit was renewed]~~, file with the
34 [STATE LAND] department an application for renewal of ~~[such]~~ [THE
35 EXPLORATION] permit for the ensuing ~~[annual]~~ [FIVE-YEAR] period. ~~[No~~
36 ~~such]~~ [AN] application for renewal ~~[shall]~~ [MAY NOT] be filed, nor shall
37 the [EXPLORATION] permit be renewed, for more than ~~[four successive annual~~
38 ~~periods following]~~ [ONE ADDITIONAL FIVE-YEAR PERMIT PERIOD AFTER]
39 expiration of the ~~[annual]~~ [INITIAL FIVE-YEAR] period ~~[for which such]~~
40 [THAT THE] permit was issued. ~~[No rental shall be payable for the first~~
41 ~~annual period for which a permit may be renewed.]~~ The rental for each ~~[of~~
42 ~~the three]~~ subsequent ~~[annual periods following the first annual period]~~
43 [PERMIT PERIOD] for which a permit may be renewed shall be ~~[one dollar]~~
44 [\$2] for each acre of state land for which the application for renewal is
45 filed. [Upon] [ON] receipt by the [STATE LAND] department of the
46 application for renewal, and the affidavit of expenditure of the required
47 amount in exploration during the ~~[current annual]~~ [INITIAL FIVE-YEAR]

1 period or ~~[a]~~ [THE IN LIEU OF] sum ~~[equal thereto]~~, together with such
2 other proof in support of such expenditure as the commissioner by
3 regulation may prescribe, and payment to the [STATE LAND] department of
4 the rental for the ensuing annual period, all prior to expiration of the
5 current ~~[annual]~~ [INITIAL FIVE-YEAR] period, the commissioner shall issue
6 a renewal of the [EXPLORATION] permit for the ensuing ~~[annual]~~ [FIVE-YEAR]
7 period.>>

8 <<Sec. 12. Section 27-255, Arizona Revised Statutes, is amended to
9 read:

10 27-255. Bonds

11 A. The commissioner, in ~~[his]~~ [THE COMMISSIONER'S] discretion, may
12 require the applicant for ~~[a mineral]~~ [AN] exploration permit, ~~[prior to~~
13 ~~issuance of such]~~ [IN CONJUNCTION WITH ISSUING THE EXPLORATION] permit, to
14 file with the commissioner a surety bond, in form and amount and with
15 surety approved by the commissioner, conditioned ~~[upon]~~ [ON] the prompt
16 payment to the owner and lessee of the surface of state land to be covered
17 by the permit, or across which the permittee exercises the right of
18 ingress or egress, for any loss to such owner or lessee from damage or
19 destruction caused by the permittee or his or its agents or employees to
20 grasses, forage, crops and improvements ~~[upon]~~ [ON] such state lands.

21 B. The commissioner may also require the permittee to furnish a
22 bond, in a reasonable amount to be fixed by the commissioner, conditioned
23 that the permittee will guarantee restoration of the surface of the
24 [STATE] land described in the ~~[mineral]~~ exploration permit to its former
25 condition ~~[upon]~~ [ON] any partial or total relinquishment of such [STATE]
26 lands, or the cancellation or expiration of the permit other than by
27 issuance of a ~~[mineral]~~ lease.

28 C. On default, the commissioner may use the proceeds of the bond
29 for the purposes described in subsection A or B [OF THIS SECTION].>>

30 <<Sec. 13. Section 27-256, Arizona Revised Statutes, is amended to
31 read:

32 27-256. Assignment of exploration permits

33 Any ~~[mineral]~~ exploration permit issued ~~[hereunder]~~ [PURSUANT TO
34 THIS ARTICLE] may be assigned in whole or in part by the permittee~~[, but~~
35 ~~such]~~ [. A EXPLORATION PERMIT] assignment ~~[shall not become]~~ [IS NOT]
36 effective unless and until [THE PERMITTEE FILES] a copy ~~[thereof is filed~~
37 [OF THE EXPLORATION PERMIT ASSIGNMENT] with the [STATE LAND] department
38 and ~~[is approved by]~~ the commissioner [APPROVES THE ASSIGNMENT]. The
39 assignee shall succeed to all of the rights and shall be subject to
40 obligations of the permittee under the ~~[mineral]~~ exploration permit.>>

1 <<Sec. 14. Title 27, chapter 2, article 4, Arizona Revised
2 Statutes, is amended by adding section 27-257, to read:

3 27-257. Applicability

4 [AN EXPLORATION PERMIT OR COMMON VARIETY RIGHT OF ENTRY PERMIT THAT
5 THE STATE LAND DEPARTMENT ISSUED BEFORE THE EFFECTIVE DATE OF THIS SECTION
6 MAY DO EITHER OF THE FOLLOWING AT THE CHOICE OF THE PERMITTEE:]

7 1. CONTINUE IN EFFECT UNTIL THE INITIAL EXPIRATION STATED IN THE
8 EXISTING EXPLORATION PERMIT.

9 2. BE SURRENDERED AT ANY TIME BEFORE THE INITIAL EXPIRATION DATE
10 STATED IN THE EXPLORATION PERMIT AND REMAIN SUBJECT TO REPLACEMENT WITH A
11 FIVE-YEAR PERMIT PERIOD AS PROVIDED IN THIS ARTICLE.]>>

12 <<Sec. 15. Repeal

13 [Section 27-271, Arizona Revised Statutes, is repealed.]>>

14 Sec. 16. Section 37-102, Arizona Revised Statutes, is amended to
15 read:

16 37-102. State land department: powers and duties

17 A. The state land department shall administer all laws relating to
18 lands owned by, belonging to and under the control of this state.

19 B. The department shall have charge and control of all lands owned
20 by this state, and timber, stone, gravel and other products of such lands,
21 except lands under the specific use and control of state institutions and
22 the products of such lands.

23 C. The department, in the name of this state, may commence,
24 prosecute and defend all actions and proceedings to protect the interest
25 of this state in lands within this state or the proceeds of lands within
26 this state. Actions shall be commenced and prosecuted at the request of
27 the department by the attorney general, a county attorney or a special
28 counsel under the direction of the attorney general.

29 D. The department shall be the official representative of this
30 state in any communication between this state and the United States
31 government in all matters respecting state lands or any interest of this
32 state in or to the public lands within this state.

33 E. The summons in any action against this state respecting any
34 lands of this state or the products of such lands and all notices
35 concerning such lands or products shall be served on the commissioner.
36 Summonses, warrants or legal notices served on behalf of the department
37 may be served by the commissioner or the commissioner's deputy, or by the
38 sheriff or a constable of any county of this state.

39 F. The department shall maintain as a public record in each of the
40 department's offices a public docket and index of all matters before the
41 department that may be subject to appeal to the board of appeals or to the
42 courts and all sale, exchange and lease transactions subject to bidding by
43 the public. The department shall list a matter on the public docket
44 immediately after an application or other request for department action is
45 received by the department. The department shall include in the public
46 docket every formal action and decision affecting each matter in

1 question. The department shall establish by rule a means by which any
2 person may obtain a copy of the public docket at the current copying cost.

3 G. The department shall reappraise or update the department's
4 original appraisal of property to be leased, exchanged or sold if the
5 board of appeals' approval of the lease or sale occurred more than two
6 hundred forty days before the auction.

7 H. To the extent possible, the state land department shall:

8 1. Prepare maps of the ancillary military facilities described in
9 section 28-8461, paragraph 7, subdivisions (b) and (c).

10 2. Make a map of the ancillary military facility described in
11 section 28-8461, paragraph 7, subdivision (a) available to the public in
12 printed or electronic format and provide the map in printed or electronic
13 format to the state real estate department.

14 3. On receipt of proper information from the military installation
15 commander with responsibility for the military electronics range, prepare
16 a map of the military electronics range as defined in section 9-500.28 and
17 make that map available to the public in printed or electronic format and
18 provide the map in printed or electronic format to the state real estate
19 department. Within ninety days after receipt of notice of any change in
20 the boundaries of the military electronics range from the military
21 installation commander, the state land department shall revise its map and
22 provide the map to the public and to the state real estate department.

23 4. On or before December 31, 2024 and on receipt of proper
24 information from the applicable military installation's and range's and
25 Arizona national guard site's commanders, prepare electronic legal
26 descriptions and maps of the military installation and range and Arizona
27 national guard site and their respective influence areas as defined in
28 sections 9-500.50 and 11-818.01 and provide the legal descriptions and
29 maps to the state real estate department and the public. The state land
30 department shall make changes to the boundaries of the military
31 installation and range and [ARIZONA] national guard site and their
32 respective influence areas and provide them to the state real estate
33 department and the public within ninety days after receipt of those
34 changes from the military installation's and range's and Arizona national
35 guard site's commanders.

36 5. RESTRICT THE USE OF A HOLDOVER LEASE TO NOT MORE THAN NINETY
37 DAYS. A HOLDOVER TENANT WHOSE LEASE IS TERMINATED BY THE DEPARTMENT SHALL
38 RECEIVE IMMEDIATE REIMBURSEMENT FOR THE FAIR MARKET VALUE OF ANY
39 REASONABLE AND CUSTOMARY IMPROVEMENTS THAT THE HOLDOVER TENANT MADE TO THE
40 STATE LAND.

41 6. FOR A LEASE RENEWAL AND SPECIAL LAND USE PERMIT:

42 (a) APPROVE ANY IMPROVEMENTS THAT ARE REASONABLE AND CUSTOMARY IN
43 THE LESSEE'S OR PERMITTEE'S COURSE OF BUSINESS. ON CONCLUSION OF THE
44 LEASE OR SPECIAL LAND USE PERMIT, THE DEPARTMENT SHALL REIMBURSE THE
45 LESSEE OR PERMITTEE FOR THE IMPROVEMENTS WITH MONIES FROM THE STATE LAND
46 TRUST.

1 (b) PROVIDE AMPLE NOTICE TO A LESSEE OR PERMITTEE BEFORE THE
2 TERMINATION OF THE LEASE OR SPECIAL LAND USE PERMIT.

3 I. The state land department shall provide each map and the legal
4 description of the boundaries of each ancillary military facility
5 described in section 28-8461, paragraph 7 in electronic format to the
6 state real estate department. Each map prepared by the state land
7 department pursuant to this section shall:

8 1. Describe the ancillary military facility, the territory in the
9 vicinity of the ancillary military facility and the high noise and
10 accident potential zone, accident potential zone one and accident
11 potential zone two associated with the ancillary military facility.

12 2. Be submitted to the county in which the ancillary military
13 facility is located.

14 3. Be made available to the public.

15 J. The state land department shall prepare a military training
16 route map. The map shall contain military training route numbers in this
17 state that are used by various United States armed forces. The map shall
18 be dated.

19 K. When preparing the military training route map, the state land
20 department shall use information contained in the most current department
21 of defense publication that is entitled "area planning military training
22 routes for North and South America".

23 L. The military training route map shall be made available to the
24 public.

25 M. Within ninety days after the department is notified of a change
26 of a military training route in this state, the department shall prepare a
27 revised military training route map. The map shall be dated and contain a
28 statement that the map supersedes all previously dated maps. The state
29 land department shall send the revised map to the state real estate
30 department electronically and shall also send an accompanying letter
31 specifying the military training route changes. The state land department
32 shall send the revised map and an accompanying letter specifying the
33 military training route changes to the municipalities affected by the
34 changes and to all counties.

35 N. The department shall submit the military training route map
36 prepared pursuant to this section to the counties in either an electronic
37 or a printed format. The format shall be determined by the receiving
38 county.

39 O. The state land department shall provide the legal description of
40 the boundaries of the military training routes as delineated in the
41 military training route map to the state real estate department in
42 electronic format.

43 P. The state land department shall prepare a military restricted
44 airspace map. The map shall contain military restricted airspace in this
45 state that is used by various United States armed forces. The map shall
46 be dated.

1 Q. When preparing the military restricted airspace map, the state
2 land department shall use information contained in the most current
3 department of transportation publication that is entitled "aeronautical
4 chart".

5 R. The military restricted airspace map shall be made available in
6 printed or electronic format to the public at the state land department
7 and at the state real estate department.

8 S. Within ninety days after the department is notified of a change
9 of military restricted airspace in this state, the department shall
10 prepare a revised military restricted airspace map. The map shall be
11 dated and contain a statement that the map supersedes all previously dated
12 maps. The state land department shall send the revised map to the state
13 real estate department electronically and shall also send an accompanying
14 letter specifying the military restricted airspace changes. The state
15 land department shall send the revised map and an accompanying letter
16 specifying the military restricted airspace changes to the municipalities
17 affected by the changes and to all counties.

18 T. The department shall submit the military restricted airspace map
19 prepared pursuant to this section to the counties in either an electronic
20 or a printed format. The format shall be determined by the receiving
21 county.

22 U. The state land department shall provide the legal description of
23 the boundaries of the military restricted airspace as delineated in the
24 military restricted airspace map to the state real estate department in
25 electronic format.

26 V. The department may accept title to and manage real estate,
27 property rights and related infrastructure acquired pursuant to section
28 26-262, subsection K for preserving or enhancing military installations in
29 this state.

30 <<Sec. 17. Section 37-231, Arizona Revised Statutes, is amended to
31 read:

32 37-231. State lands subject to sale; rights reserved in lands
33 sold; state lands not subject to sale; development
34 agreements

35 A. All state lands, except as otherwise provided for in this title,
36 including all improvements made or placed on or connected with state
37 lands, shall be subject to appraisal and sale as provided in this title.

38 B. Any person over eighteen years of age is entitled to purchase
39 any of the state lands.

40 C. All sales, grants, deeds or patents to any state lands sold
41 between July 9, 1954 and March 18, 1968 shall be subject to and shall
42 contain a reservation to [the] [THIS] state of an undivided one-sixteenth
43 of all oil, gases and other hydrocarbon substances, coal or stone, metals,
44 minerals, fossils and fertilizer of every name and description, together
45 with all uranium, all thorium, or any other material [which] [THAT] is or
46 may be determined by the laws of [the] [THIS] state or the United States
47 or decisions of courts to be peculiarly essential to the production of

1 fissionable materials, whether or not of commercial value, subject to the
2 following:

3 1. For the purpose of promoting the sale of state lands and the
4 more active cooperation of the owner of the soil, and to facilitate the
5 development of its mineral resources, the state constitutes the purchaser
6 of the land its agent for the purposes specified in this section, and in
7 consideration hereof, relinquishes to and vests in the purchaser of the
8 state land an undivided fifteen-sixteenths of all oil, gas and the value
9 thereof ~~[which]~~ ~~[THAT]~~ may be ~~[upon]~~ ~~[ON]~~ or within any state land
10 purchased after July 9, 1954 and before March 18, 1968.

11 2. The purchaser of the soil may sell or lease to any person, firm
12 or corporation the oil and gas and other minerals ~~[which]~~ ~~[THAT]~~ may be on
13 or in the land, ~~[upon]~~ ~~[ON]~~ terms and conditions the purchaser and the
14 owner deem best, subject to the provisions and reservations of this
15 section, but the lessee or purchaser shall pay to ~~[the]~~ ~~[THIS]~~ state an
16 undivided one-sixteenth of the mineral produced or the value of the
17 mineral produced at the well or mine as determined by the state land
18 department.

19 3. ~~[Upon]~~ ~~[ON]~~ discovery of oil and gas in paying quantities on
20 land adjoining state lands purchased under the authority of this section,
21 the purchaser or the purchaser's lessee shall drill and produce all wells
22 necessary to protect the land so purchased from drainage by wells on lands
23 in which ~~[the]~~ ~~[THIS]~~ state has no royalty interest, or has a lesser
24 royalty interest. If the purchaser or the purchaser's lessee fails to
25 protect against such drainage, ~~[the]~~ ~~[THIS]~~ state, acting through the
26 ~~[state land]~~ department, ~~[may,]~~ three months after demand therefor in
27 writing by the ~~[state land]~~ department to such purchaser and the
28 purchaser's lessee, ~~[MAY]~~ enter ~~[upon]~~ ~~[ON]~~ such lands and drill all wells
29 necessary to protect ~~[the]~~ ~~[THIS]~~ state against such drainage.

30 4. The interest reserved by ~~[the]~~ ~~[THIS]~~ state in any state lands
31 sold may be committed to a drilling unit or cooperative or unit plans of
32 development and operation of oil and gas pools with the United States, its
33 agencies and its and their lessees and permittees, and with private owners
34 and persons holding oil and gas leases on private lands or on state
35 lands. The ~~[state land]~~ department ~~[may]~~, insofar as the interest of
36 ~~[the]~~ ~~[THIS]~~ state may be affected thereby, ~~[MAY]~~ join in and consent to
37 any such plan on behalf of ~~[the]~~ ~~[THIS]~~ state. Such agreements shall
38 provide for the equitable division on an agreed basis of the oil and gas
39 produced from the unit, but ~~[no]~~ such ~~[AN]~~ agreement shall ~~[NOT]~~ relieve
40 any operator from the obligation to develop reasonably the lands and
41 leases as a whole committed thereto. The royalties to which ~~[the]~~ ~~[THIS]~~
42 state is entitled on production from land purchased under this section
43 shall be computed only on that part of the production allocated to such
44 tract. When the agreements made under this section provide for the return
45 of gas to a formation underlying the unit, they may provide that no
46 royalties are required to be paid on the gas so returned.

1 D. State lands known to contain oil, gases and other hydrocarbon
2 substances, geothermal resources, coal or stone, metals, minerals, fossils
3 and fertilizer of every name and description, in paying quantities, or
4 uranium, thorium or any other material which is or may be determined by
5 the laws of ~~[the]~~ [THIS] state the United States or decisions of court to
6 be peculiarly essential to the production of fissionable materials,
7 whether or not of commercial value, and state lands adjoining lands ~~[upon]~~
8 [ON] which there are producing oil, gas or geothermal wells or adjoining
9 lands known to contain any of such substances in paying quantities, or
10 uranium, thorium or any other material peculiarly essential to the
11 production of fissionable materials, whether or not of commercial value,
12 shall not be sold. The prohibition against sale shall not operate to
13 prevent the sale of lands known to contain, in paying quantities, common
14 variety minerals as defined in section ~~[27-271]~~ [27-201.01] or to prevent
15 the sale of lands where ~~[the]~~ [THIS] state does not own such substances,
16 minerals or metals in the lands sought to be sold. ~~[The provisions of]~~
17 This subsection shall not prohibit the sale of such lands located within
18 the exterior boundaries of an incorporated city or town, in which case the
19 commissioner may offer the land for sale, provided the land shall be used
20 solely for a public purpose. Such land shall revert to ~~[the]~~ [THIS] state
21 if it is used other than for a public purpose.

22 E. Notwithstanding ~~[the provisions of]~~ subsection C of this
23 section, all state lands sold after March 18, 1968 shall be sold with the
24 reservation that all oil, gas, other hydrocarbon substances, helium or
25 other substances of a gaseous nature, geothermal resources, coal, metals,
26 minerals, fossils, fertilizer of every name and description, together with
27 all uranium, all thorium or any other material ~~[which]~~ [THAT] is or may be
28 determined by the laws of the United States or of this state, or [BY]
29 decisions of court, to be peculiarly essential to the production of
30 fissionable materials, whether or not of commercial value, and the
31 exclusive right thereto, on, in, or under such land, shall be and remain
32 and be reserved in and retained by ~~[the]~~ [THIS] state, regardless of any
33 sale under this section and the issuance of any certificate of purchase to
34 any purchaser of state lands pursuant to this section, provided, that the
35 reservation shall not include common variety minerals as defined in
36 section ~~[27-271]~~ [27-201.01], subject to the following:

37 1. The ~~[state land]~~ department shall adopt rules providing for the
38 protection of the patentee or contract purchaser of state lands, or their
39 successors in interest, and ~~[the]~~ [THIS] state ~~[of Arizona]~~, against
40 damage to the lands, livestock, water, crops, or other tangible
41 improvements on lands held by such patentee or contract purchaser, and
42 suffered by reason of the use or occupation of such lands by lessees or
43 permittees engaged in mining and oil, gas and geothermal resource
44 exploration and development under leases or permits executed by the
45 department. The ~~[state land]~~ department [may], at any time, [MAY] require
46 each of its lessees or permittees to execute a bond in a reasonable
47 principal amount conditioned ~~[upon]~~ [ON] payment for all such damages.

1 2. The mineral rights reserved to ~~[the]~~ [THIS] state in the lands
2 sold shall be closed to entry and location as a mineral claim or claims,
3 but the department may issue, ~~[upon]~~ [ON] application, mineral exploration
4 permits embracing the reserved mineral rights when such issuance is deemed
5 in the best interest of ~~[the]~~ [THIS] state, provided that the surface
6 owner or owners shall have the first right of refusal to acquire such
7 mineral exploration permits.>>

8 <<Sec. 18. Section 44-301, Arizona Revised Statutes, is amended to
9 read:

10 44-301. Definitions

11 In this chapter, unless the context otherwise requires:

12 1. "Airdrop":

13 (a) Means to issue a unit of a digital asset that is distributed in
14 a broad, equipped and nondiscretionary manner based on conditions that are
15 capable of being satisfied by a participant in a blockchain system as
16 incentive-based rewards, including any of the following:

17 (i) To users of a digital asset or any blockchain system to which
18 the digital asset relates.

19 (ii) For activities that are directly related to the operation of
20 the blockchain system, including mining, validating, staking and any other
21 activity that is directly tied to the operation of the blockchain system.

22 (iii) To existing holders of another digital asset in proportion to
23 the total units of the other digital assets that are held by each person.

24 (b) Does not include an exchange of more than a nominal value of
25 cash, property or other assets.

26 2. "Apparent owner" means a person whose name appears on the
27 records of a holder as the person entitled to property held, issued or
28 owing by the holder.

29 3. "Business association" means any corporation, joint stock
30 company, investment company, partnership, limited partnership, registered
31 limited liability partnership, unincorporated association, joint venture,
32 limited liability company, business trust, trust company, land bank, safe
33 deposit company, safekeeping depository, financial organization, insurance
34 company, mutual fund, utility or other business entity, whether for profit
35 or not for profit, that consists of one or more persons.

36 4. "De minimis property" means any account balances of business
37 associations of \$50 or less that is payable to another business
38 association.

39 5. "Department" means the department of revenue.

40 6. "Digital assets" means any of the following that confers
41 economic, proprietary or access rights or powers:

42 (a) Virtual currencies.

43 (b) Cryptocurrencies.

44 (c) Any other digital-only assets.

45 7. "Director" means the director of the department of revenue.

1 8. "Domicile" means the state of incorporation of a corporation and
2 the state of the principal place of business of a holder other than a
3 corporation.

4 9. "Financial organization" means a savings and loan association,
5 building and loan association, savings bank, industrial bank, bank,
6 banking organization or credit union.

7 10. "Holder" means a person who is obligated to hold for the
8 account of or deliver or pay to the owner the property that is subject to
9 this chapter.

10 11. "Insurance company" means an association, corporation or
11 fraternal or mutual benefit society or organization, whether for profit or
12 not for profit, that is engaged in the business of providing life
13 endowments, annuities or insurance, including accident, burial, casualty,
14 credit life, contract performance, dental, disability, fidelity, fire,
15 health, hospitalization, illness, life, malpractice, marine, mortgage,
16 surety, wage protection and workers' compensation insurance.

17 12. "Mineral" means gas, oil, coal, sand, gravel, road material,
18 building stone, chemical raw material, gemstone, fissionable and
19 nonfissionable ores, colloid and other clay, steam and other geothermal
20 resource or any other substance defined as a mineral in sections ~~[27-231]~~
21 [27-201.01] and 27-901.

22 13. "Mineral proceeds" means the amounts payable for the
23 extraction, production or sale of minerals or, if those amounts are
24 abandoned, all payments that become payable after the abandonment.
25 Mineral proceeds include amounts payable:

26 (a) For the acquisitions and retention of a mineral lease,
27 including bonuses, royalties, compensatory royalties, shut-in royalties,
28 minimum royalties and delay rentals.

29 (b) For the extraction, production or sale of minerals, including
30 net revenue interest, royalties, overriding royalties, extraction payments
31 and production payments.

32 (c) Under an agreement or option, including a joint operating
33 agreement, unit agreement, pooling agreement and farm out agreement.

34 14. "Money order" includes an express money order and a personal
35 money order on which the remitter is the purchaser. Money order does not
36 include a bank money order or any other instrument that is sold by a
37 financial organization if the seller has obtained the name and address of
38 the payee.

39 15. "Owner" means a person who has a legal or equitable interest in
40 property that is subject to this chapter or the person's legal
41 representative. Owner includes a depositor in the case of a deposit, a
42 beneficiary in the case of a trust other than a deposit in trust and a
43 creditor, claimant or payee in the case of other property.

44 16. "Person" means an individual, business association, financial
45 organization, estate, trust, government, governmental subdivision, agency
46 or instrumentality or any other legal or commercial entity.

1 17. "Property":
2 (a) Means any of the following:
3 (i) Tangible property pursuant to section 44-303.
4 (ii) A fixed and certain interest in intangible property that is
5 held, issued or owed in the course of a holder's business or by a
6 government, governmental subdivision, agency or instrumentality and all
7 income or increments from that property.
8 (iii) Digital assets.
9 ~~[(b)]~~ [(b)] Includes property that is referred to as or evidenced
10 by any of the following:
11 (i) Money or any check, draft, deposit, interest or dividend.
12 (ii) Any credit balance, customer's overpayment, security deposit,
13 refund, credit memorandum, unpaid wage, unused ticket, mineral proceeds or
14 unidentified remittance.
15 (iii) Any stock or other evidence of ownership of an interest in a
16 business association or financial organization.
17 (iv) Any bond, debenture, note or other evidence of indebtedness.
18 (v) Money deposited to redeem stocks, bonds, coupons or other
19 securities or to make distributions.
20 (vi) An amount due and payable under the terms of an annuity or
21 insurance policy, including policies that provide life, property,
22 casualty, workers' compensation, health or disability insurance.
23 (vii) An amount distributable from a trust or custodial fund that
24 is established under a plan to provide health, welfare, pension, vacation,
25 severance, retirement, death, stock purchase, profit sharing, employee
26 savings or supplemental unemployment insurance or similar benefits.
27 ~~[(b)]~~ [(c)] Does not include de minimis property, property of a
28 person who is maintaining a current business relationship with the holder,
29 monies collected pursuant to section 46-441 and property that is referred
30 to or evidenced by gift certificates, electronic gift cards, nonrefundable
31 tickets, certificates evidencing property denominated in value other than
32 a currency, including prepaid phone cards, frequent flyer miles, stored
33 value cards and merchandise points.
34 18. "Record" means information that is inscribed on a tangible
35 medium or that is stored in any electronic or other medium and that is
36 retrievable in a perceivable form.
37 19. "Stake" means committing digital assets to a blockchain network
38 to participate in the blockchain network's operations by validating
39 transactions, proposing and attesting to blocks and securing the network.
40 20. "State" means a state of the United States, the District of
41 Columbia, the Commonwealth of Puerto Rico or any territory or insular
42 possession that is subject to the jurisdiction of the United States.
43 21. "Utility" has the same meaning prescribed in section 40-491.>>

1 Sec. 19. Legislative findings
2 The legislature finds that:
3 1. Minerals and common variety minerals exist where they are.
4 2. Minerals and common variety minerals are needed for all forms of
5 commercial development on state trust lands, including affordable housing
6 and semiconductor fabrication.
7 3. Development that occurs over state trust lands that contains
8 minerals permanently locks away those minerals, preventing the minerals
9 from being extracted and permanently foreclosing their revenues from
10 accruing to the trust.
11 4. Mineral extraction is subject to reclamation plans that restore
12 the land to its previous condition before extraction occurred and this
13 makes the land usable for other commercial uses once mining is completed.
14 5. Pursuant to the Arizona Constitution and the Enabling Act, the
15 extraction of minerals must occur before any other commercial land use.

16 Enroll and engross to conform
17 Amend title to conform

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